

(2) Subsection (1) applies despite sections 116 and 119 and despite any order under paragraph 6 of subsection 30 (1). 2006, c. 17, s. 123 (2).

Coerced agreement void

124 An agreement under section 121 or 123 is void if it has been entered into as a result of coercion or as a result of a false, incomplete or misleading representation by the landlord or an agent of the landlord. 2006, c. 17, s. 124.

Decrease in services, etc.

125 A landlord shall decrease the rent charged to a tenant for a rental unit as prescribed if the landlord and the tenant agree that the landlord will cease to provide anything referred to in subsection 123 (1) with respect to the tenant's occupancy of the rental unit. 2006, c. 17, s. 125.

LANDLORD APPLICATION FOR RENT INCREASE

Application for above guideline increase

126 (1) A landlord may apply to the Board for an order permitting the rent charged to be increased by more than the guideline for any or all of the rental units in a residential complex in any or all of the following cases:

1. An extraordinary increase in the cost for municipal taxes and charges for the residential complex or any building in which the rental units are located.
2. Eligible capital expenditures incurred respecting the residential complex or one or more of the rental units in it.
3. Operating costs related to security services provided in respect of the residential complex or any building in which the rental units are located by persons not employed by the landlord. 2006, c. 17, s. 126 (1); 2017, c. 13, s. 22 (1).

Interpretation

(2) In this section,

“extraordinary increase” means extraordinary increase as defined by or determined in accordance with the regulations. 2006, c. 17, s. 126 (2).

When application made

(3) An application under this section shall be made at least 90 days before the effective date of the first intended rent increase referred to in the application. 2006, c. 17, s. 126 (3).

Summary of work yet to be completed relating to elevators

(3.1) The landlord shall include with an application under this section a summary of each of the following, if applicable:

1. Any item in a work order that relates to one or more elevators in the residential complex and that has not yet been completed, regardless of whether or not the compliance period has expired.
2. Any item in an order made under section 21 of the *Technical Standards and Safety Act, 2000* that relates to one or more elevators in the residential complex and that has not yet been completed, regardless of whether or not the compliance period has expired and regardless of whether the order was made against the landlord or another person or entity.
3. Any specified repairs or replacements or other work ordered by the Board under paragraph 4 of subsection 30 (1) that relates to one or more elevators in the residential complex and that has not yet been completed, regardless of whether or not the compliance period has expired. 2017, c. 13, s. 22 (2).

Same

(3.2) A summary referred to in subsection (3.1) shall include the following information:

1. A description of the work that was ordered to be carried out.
2. The person or entity who was ordered to carry out the work and the time for compliance specified in the order.
3. The person or entity who made the order and the date the order was made.
4. Such additional information as may be prescribed. 2017, c. 13, s. 22 (2).

Information for tenants

(4) If an application is made under this section that includes a claim for capital

expenditures, the landlord shall make information that accompanies the application under subsection 185 (1) available to the tenants of the residential complex in accordance with the prescribed rules. 2006, c. 17, s. 126 (4).

Rent chargeable before order

(5) If an application is made under this section and the landlord has given a notice of rent increase as required, until an order authorizing the rent increase for the rental unit takes effect, the landlord shall not require the tenant to pay a rent that exceeds the lesser of,

- (a) the new rent specified in the notice; and
- (b) the greatest amount that the landlord could charge without applying for a rent increase. 2006, c. 17, s. 126 (5).

Tenant may pay full amount

(6) Despite subsection (5), the tenant may choose to pay the amount set out in the notice of rent increase pending the outcome of the landlord's application and, if the tenant does so, the landlord shall owe to the tenant any amount paid by the tenant exceeding the amount allowed by the order of the Board. 2006, c. 17, s. 126 (6).

Eligible capital expenditures

(7) Subject to subsections (8) and (9) and except under the prescribed circumstances, a capital expenditure is an eligible capital expenditure for the purposes of this section if,

- (a) it is necessary to protect or restore the physical integrity of the residential complex or part of it;
 - (b) it is necessary to comply with subsection 20 (1) or clauses 161 (a) to (e);
 - (c) it is necessary to maintain the provision of a plumbing, heating, mechanical, electrical, ventilation or air conditioning system;
 - (d) it provides access for persons with disabilities;
 - (e) it promotes energy or water conservation; or
 - (f) it maintains or improves the security of the residential complex or part of it.
- 2006, c. 17, s. 126 (7); 2017, c. 13, s. 22 (3).

Exception

(8) A capital expenditure to replace a system or thing is not an eligible capital expenditure for the purposes of this section if the system or thing that was replaced did not require major repair or replacement, unless the replacement of the system or thing promotes,

- (a) access for persons with disabilities;
- (b) energy or water conservation; or
- (c) security of the residential complex or part of it. 2006, c. 17, s. 126 (8).

Same

(9) A capital expenditure is not an eligible capital expenditure with respect to a rental unit for the purposes of this section if a new tenant entered into a new tenancy agreement in respect of the rental unit and the new tenancy agreement took effect after the capital expenditure was completed. 2006, c. 17, s. 126 (9).

Order

(10) Subject to subsections (11) to (13), in an application under this section, the Board shall make findings in accordance with the prescribed rules with respect to all of the grounds of the application and, if it is satisfied that an order permitting the rent charged to be increased by more than the guideline is justified, shall make an order,

- (a) specifying the percentage by which the rent charged may be increased in addition to the guideline; and
- (b) subject to the prescribed rules, specifying a 12-month period during which an increase permitted by clause (a) may take effect. 2006, c. 17, s. 126 (10).

Limitation

(11) If the Board is satisfied that an order permitting the rent charged to be increased by more than the guideline is justified and that the percentage increase justified, in whole or in part, by operating costs related to security services and by eligible capital expenditures is more than 3 per cent,

- (a) the percentage specified under clause (10) (a) that is attributable to those costs and expenditures shall not be more than 3 per cent; and

(b) the order made under subsection (10) shall, in accordance with the prescribed rules, specify a percentage by which the rent charged may be increased in addition to the guideline in each of the two 12-month periods following the period specified under clause (10) (b), but that percentage in each of those periods shall not be more than 3 per cent. 2006, c. 17, s. 126 (11).

Application of subs. (13), serious breach

(12) Subsection (13) applies to a rental unit if the Board finds that,

(a) the landlord,

(i) has not completed items in work orders for which the compliance period has expired and which are found by the Board to be related to a serious breach of a health, safety, housing or maintenance standard,

(ii) has not completed specified repairs or replacements or other work ordered by the Board under paragraph 4 of subsection 30 (1) for which the compliance period has expired and which are found by the Board to be related to a serious breach of the landlord's obligations under subsection 20 (1) or section 161, or

(iii) is in serious breach of the landlord's obligations under subsection 20 (1) or section 161; and

(b) the rental unit is affected by,

(i) one or more items referred to in subclause (a) (i) that have not been completed,

(ii) one or more repairs or replacements or other work referred to in subclause (a) (ii) that has not been completed, or

(iii) a serious breach referred to in subclause (a) (iii). 2006, c. 17, s. 126 (12); 2017, c. 13, s. 22 (4).

Application of subs. (13), non-completion of work relating to elevators

(12.1) Subsection (13) applies to a rental unit in a residential complex if the Board finds that,

(a) the landlord has not completed items in work orders for which the

compliance period has expired and which relate to one or more elevators in the residential complex;

(b) the landlord or another person or entity, as applicable, has not completed items in orders made under the section 21 of the *Technical Standards and Safety Act, 2000* for which the compliance period has expired and which relate to one or more elevators in the residential complex; or

(c) the landlord has not completed specified repairs or replacements or other work ordered by the Board under paragraph 4 of subsection 30 (1) for which the compliance period has expired and which relates to one or more elevators in the residential complex. 2017, c. 13, s. 22 (5).

Same

(13) If this subsection applies to a rental unit, the Board shall,

(a) dismiss the application with respect to the rental unit; or

(b) provide, in any order made under subsection (10), that the rent charged for the rental unit shall not be increased pursuant to the order until the Board is satisfied, on a motion made by the landlord within the time period specified by the Board, on notice to the tenant of the rental unit, that,

(i) all items referred to in subclause (12) (a) (i) that affect the rental unit have been completed, if a finding was made under that subclause,

(ii) all repairs, replacements and other work referred to in subclause (12) (a) (ii) that affect the rental unit have been completed, if a finding was made under that subclause,

(iii) the serious breach referred to in subclause (12) (a) (iii) no longer affects the rental unit, if a finding was made under that subclause,

(iv) all items referred to in clause (12.1) (a) have been completed, if a finding was made under that clause,

(v) all items referred to in clause (12.1) (b) have been completed, if a finding was made under that clause, and

(vi) all repairs, replacements and other work referred to in clause (12.1) (c) have been completed, if a finding was made under that clause. 2006, c. 17,

s. 126 (13); 2017, c. 13, s. 22 (6).

Order not to apply to new tenant

(14) An order of the Board under subsection (10) with respect to a rental unit ceases to be of any effect on and after the day a new tenant enters into a new tenancy agreement with the landlord in respect of that rental unit if that agreement takes effect on or after the day that is 90 days before the first effective date of a rent increase in the order. 2006, c. 17, s. 126 (14).

Non-application

(15) Subsections (3.1), (3.2) and (12.1) and subclauses 126 (13) (b) (iv), (v) and (vi) do not apply with respect to an application under this section if the application was made before the day subsection 22 (7) of the *Rental Fairness Act, 2017* comes into force. 2017, c. 13, s. 22 (7).

Transition, utilities

(16) This section and any related regulations, as they read immediately before the day subsection 22 (1) of the *Rental Fairness Act, 2017* comes into force, continue to apply with respect to applications for an above-guideline rent increase due in whole or in part to an extraordinary increase in the cost for utilities that are made before that day and have not been finally determined before that day. 2017, c. 13, s. 22 (8).

Definition

(17) In this section,

“elevator” means an elevator intended for use by tenants. 2017, c. 13, s. 22 (9).

▼ Section Amendments with date in force (d/m/y)

Two ordered increases

127 Despite clause 126 (11) (b), if an order is made under subsection 126 (10) with respect to a rental unit and a landlord has not yet taken all the increases in rent for the rental unit permissible under a previous order pursuant to clause 126 (11) (b), the landlord may increase the rent for the rental unit in accordance with the prescribed rules. 2006, c. 17, s. 127.

REDUCTIONS OF RENT

Utilities

128 (1) This section applies with respect to an order issued under subsection 126 (10), on an application made under subsection 126 (1) before the day subsection 22 (1) of the *Rental Fairness Act, 2017* comes into force, permitting an increase in rent that is due in whole or in part to an extraordinary increase in the cost for utilities. 2017, c. 13, s. 23 (1).

Information for tenant

(2) If a landlord increases the rent charged to a tenant for a rental unit pursuant to an order described in subsection (1), the landlord shall, in accordance with the prescribed rules, provide that tenant with information on the total cost of utilities for the residential complex. 2006, c. 17, s. 128 (2).

Rent reduction

(3) If a landlord increases the rent charged to a tenant for a rental unit pursuant to an order described in subsection (1) and the cost of utilities for the residential complex decreases by more than the prescribed percentage in the prescribed period, the landlord shall reduce the rent charged to that tenant in accordance with the prescribed rules. 2006, c. 17, s. 128 (3).

Application

(4) This section ceases to apply to a tenant of a rental unit in respect of a utility if the landlord ceases to provide the utility to the rental unit in accordance with this Act or an agreement between the landlord and that tenant. 2006, c. 17, s. 128 (4).

Transition, subs. (1)

(5) Subsection (1), as it reads immediately before the day subsection 23 (1) of the *Rental Fairness Act, 2017* comes into force, continues to apply with respect to applications for an above-guideline rent increase due in whole or in part to an extraordinary increase in the cost for utilities that are made before the day subsection 22 (1) of that Act comes into force and have not been finally determined before the day subsection 23 (1) of that Act comes into force. 2017, c. 13, s. 23 (2).

▼ **Section Amendments with date in force (d/m/y)**

Capital expenditures

129 If the Board issues an order under subsection 126 (10) permitting an increase in rent that is due in whole or in part to eligible capital expenditures,

- (a) the Board shall specify in the order the percentage increase that is attributable to the eligible capital expenditures;
 - (b) the Board shall specify in the order a date, determined in accordance with the prescribed rules, for the purpose of clause (c); and
 - (c) the order shall require that,
 - (i) if the rent charged to a tenant for a rental unit is increased pursuant to the order by the maximum percentage permitted by the order and the tenant continues to occupy the rental unit on the date specified under clause (b), the landlord shall, on that date, reduce the rent charged to that tenant by the percentage specified under clause (a); and
 - (ii) if the rent charged to a tenant for a rental unit is increased pursuant to the order by less than the maximum percentage permitted by the order and the tenant continues to occupy the rental unit on the date specified under clause (b), the landlord shall, on that date, reduce the rent charged to that tenant by a percentage determined in accordance with the prescribed rules that is equal to or lower than the percentage specified under clause (a).
- 2006, c. 17, s. 129.

Reduction in services

130 (1) A tenant of a rental unit may apply to the Board for an order for a reduction of the rent charged for the rental unit due to a reduction or discontinuance in services or facilities provided in respect of the rental unit or the residential complex. 2006, c. 17, s. 130 (1).

Same, former tenant

(2) A former tenant of a rental unit may apply under this section as a tenant of the rental unit if the person was affected by the discontinuance or reduction of the

services or facilities while the person was a tenant of the rental unit. 2006, c. 17, s. 130 (2).

Order re lawful rent

(3) The Board shall make findings in accordance with the prescribed rules and may order,

- (a) that the rent charged be reduced by a specified amount;
- (b) that there be a rebate to the tenant of any rent found to have been unlawfully collected by the landlord;
- (c) that the rent charged be reduced by a specified amount for a specified period if there has been a temporary reduction in a service. 2006, c. 17, s. 130 (3).

Same

(4) An order under this section reducing rent takes effect on the day that the discontinuance or reduction first occurred. 2006, c. 17, s. 130 (4).

Same, time limitation

(5) No application may be made under this section more than one year after a reduction or discontinuance in a service or facility. 2006, c. 17, s. 130 (5).

Municipal taxes

131 (1) If the municipal property tax for a residential complex is reduced by more than the prescribed percentage, the lawful rent for each of the rental units in the complex is reduced in accordance with the prescribed rules. 2006, c. 17, s. 131 (1).

Effective date

(2) The rent reduction shall take effect on the date determined by the prescribed rules, whether or not notice has been given under subsection (3). 2006, c. 17, s. 131 (2).

Notice

(3) If, for a residential complex with at least the prescribed number of rental units, the rents that the tenants are required to pay are reduced under subsection (1), the local